

PHASE 1 - DEFINING THE FRAMEWORK

RAG status is computed based on a deterministic, rule-driven process and not the subjective determination of the LLM. Each project is evaluated on five separate dimensions, so that all RAG statuses are clear, auditble, and able to trace back to concrete project data.

Project Health Signals -

1. **Schedule Slippage** – Determines the proportion of late tasks and milestones being missed. As schedule delay tends to be the first indicator of risk, this is a highly weighted signal.
2. **Budget Burn** – Considers actual expenditure compared to planned expenditure to date against project progress. Both underbudgeting and overspending are considered risky, since the former may indicate stalled efforts and resources issues.
3. **Milestone Health** – Consider overdue milestones and milestones due in the next 2 weeks that are flagged as risky. Milestone misses directly affect the commitment to stakeholders.
4. **Blockers** – Counts open blockers and considers their severity and how long they are open. Blockers are often the cause of delays, and thus, long-running blockers are considered significant risks.
5. **Stakeholder Sentiment** – Measures the sentiment expressed in project manager/client updates (positive, neutral or negative) compared to previous updates. This can be used as a leading indicator prior to poor quantitative signals.

Mapping Signals to RAG Status

Each dimension is independently scored as:

- **Green:** Healthy performance with no significant concerns.
- **Amber:** Moderate risk requiring attention.
- **Red:** Critical issues needing immediate action.

The overall project status is calculated using a **weighted score**:

- **Schedule:** 25%
- **Milestones:** 25%
- **Budget:** 20%
- **Blockers:** 20%
- **Stakeholder Sentiment:** 10%

The weighted result maps to:

- **Green:** ≥ 1.5
- **Amber:** $0.8 - 1.5$
- **Red:** < 0.8

Override Rules

In order to avoid hiding critical risks due to averaging, the following override rules are used:

1. A single Red indicator from any of the categories does not allow for a Green project state.
2. Critical blocker or blocker that persists for a long time is a reason for the Red project status.
3. Two or more overdue milestones result in Red project status.
4. Red stakeholder sentiment escalates to Red only if it is accompanied by another Red operational indicator.
5. Incomplete or unavailable information is evaluated as Amber (Insufficient Data) to avoid incorrect assumptions about the project.

Assumptions:

1. Weekly data about the project includes task schedule information, milestones, budgets, blockers and stakeholder comments.
2. Data can be partial and inconsistent, hence the framework allows for missing values.
3. Budget assessment is based on a simple planned vs actual burn ratio, rather than EVM.
4. The RAG status is used as a decision-making tool, while the project managers have the opportunity to use their judgment to make manual adjustments if needed.

This approach ensures objective assessment of the project based on measurable indicators while remaining transparent and explainable.